

Hawkward Pause

- We now expect the *Fed to remain on hold indefinitely* (versus our prior forecast of two cuts in September and December). Incoming Fed Chair Kevin Warsh is likely still motivated to cut rates. However, we expect easing political pressure, elevated inflation, and strong cyclical growth to support a prolonged pause.
- Data have remained relatively hawkish lately. Growth has remained robust due to strong investment and steady consumption. Labor markets appear to be stabilizing, while both survey and hard data point to building price pressures.

We now expect the *Fed to keep policy rates unchanged indefinitely*, versus our previous forecast for two cuts in September and December (Fig. 1 & 2).

Political pressure for near-term rate cuts has diminished recently. Tariff inflation has begun to fade, but new price pressures have emerged from the Iran war and global memory chip shortages. Additionally, although we think Warsh would be inclined to ease policy, support among Fed officials for an easing bias has begun to wane.

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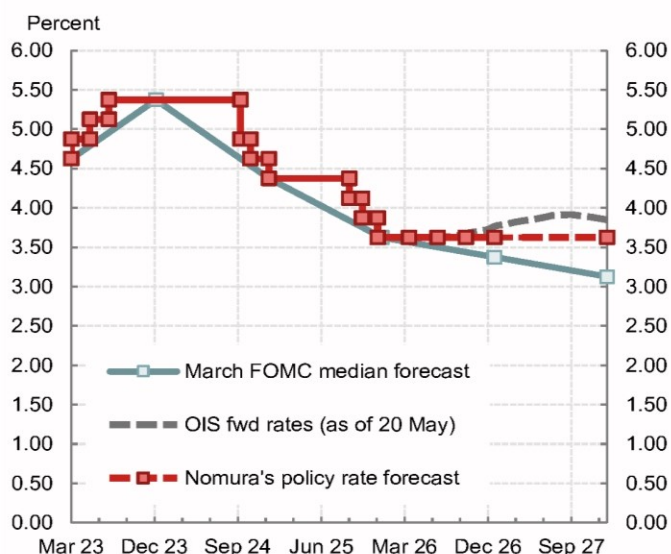
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Fig. 1: We expect rates to remain on hold indefinitely



Source: FRB, Bloomberg, Nomura

Fig. 2: Recent data and Fedspeak make us skeptical that Warsh will be able to convince a majority of the FOMC to support rate cuts

Nomura's monetary policy outlook

Tool	Key assumptions
Policy rate	
2026	No rate cuts, EOP 3.625%
Terminal	3.50 - 3.75%
Balance sheet policy	
Size	Reserve management purchases of \$10bn/month. The NY Fed is actively managing reserve management purchases in response to seasonal liquidity demand and market conditions. We expect balance sheet growth to average \$20bn per month in the medium term.
Composition	MBS rundown to continue, with proceeds reinvested into Treasuries. Both reinvestments and eventual reserve management purchases will be skewed towards Treasury bills.

Source: FRB, Nomura

Political pressures for imminent rate cuts appear to have eased. According to his *interview with Fortune Magazine* which was published on Monday this week, President Trump has appeared resigned to giving up on rate cuts for some time, saying "You can't really look at the figures until the war is over." Moreover, reportedly, Trump is unlikely to put pressures on the new Fed Chair Kevin Warsh in a specific direction as he mentioned "I'm going to let him do what he wants to do."

Recent Fedspeak shows even dovish officials are no longer advocating for rate cuts or an easing bias. Governor Waller was *hawkish in his remarks*, where he cited inflation risks, mentioned that labor markets were stabilizing with few risks of deterioration and called for

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removing the easing bias. He expressed concerns about the breadth of increases in consumer prices and sharp increases in PPI. Moreover, he mentioned that a series of transitory shocks could lead to persistent inflation, and consequently he viewed a rate cut was no more likely than a hike. Philly Fed President Paulson also leaned hawkish and endorsed market expectations for the policy rate, saying "the way the market has moved in reaction to economic news over the last few months largely aligns with my own thinking" and it was "healthy" that traders were pricing in a long pause or even rate hikes. She also appeared comfortable removing forward guidance at the June FOMC statement.

The April FOMC meeting minutes were relatively hawkish, consistent with *Powell's messaging* at the post-meeting press conference. As we had *expected*, the number of officials supporting a change to the easing bias increased to "many" from "some" in March and "several" in January (*Fig. 3*).

Fig. 3: The April FOMC minutes suggest support among Fed officials for an easing bias has begun to wane

FOMC Meeting and Policy Decision	Easing bias comments
December 2025 25bp rate cut to 3.50 - 3.75%	"Most participants judged that further downward adjustments to the target range for the federal funds rate would likely be appropriate if inflation declined over time as expected."
January 2026 Held policy rate at 3.50 - 3.75%	"Several participants commented that further downward adjustments to the target range for the federal funds rate would likely be appropriate if inflation were to decline in line with their expectations."
March 2026 Held policy rate at 3.50 - 3.75%	"Many participants judged that, in time, it would likely become appropriate to lower the target range for the federal funds rate if inflation were to decline in line with their expectations."
April 2026 Held policy rate at 3.50 - 3.75%	"Several participants highlighted that it would likely be appropriate to lower the target range for the federal funds rate once there are clear indications that disinflation is firmly back on track or if solid signs emerge of greater weakness in the labor market. A majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent."

Source: FRB, Nomura

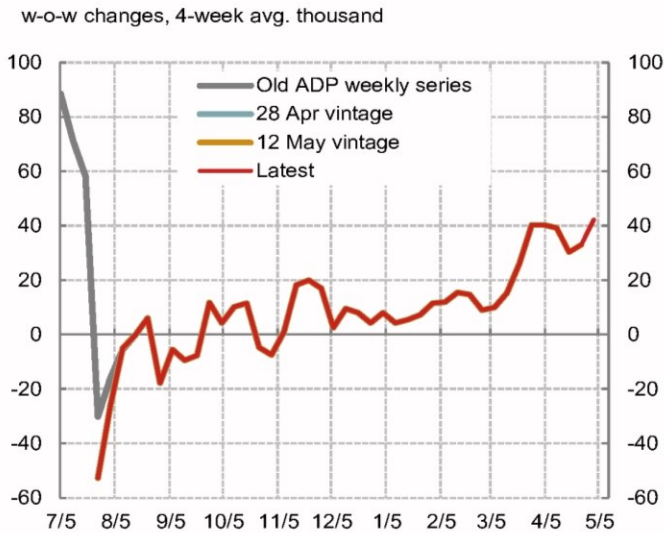
Data remain hawkish, pointing to robust growth and building price pressures

Manufacturing and business capex continue to accelerate. The preliminary S&P Manufacturing PMI rose to a multi-year high. Elevated uncertainty has had little visible impact on manufacturing or capex, which continues to *accelerate and broaden beyond tech/AI*. Capital goods shipments and imports have also strengthened. We expect durable goods orders rose 4.8% m-o-m in April, driven by broad-based gains. Excluding the volatile transportation component, orders likely rose 0.9%, while core capital goods shipments advanced 1.0%. Incorporating this week's data and our forecasts for next week, our Q2 GDP tracking stands at 2.6% q-o-q ar, one-tenth lower than last week, while real final sales to private domestic purchasers remain unchanged at 2.9% q-o-q ar.

Housing demand has also remained resilient despite elevated mortgage rates. Pending home sales surprised to the upside, rising 1.4% m-o-m (Nomura and Consensus: 1.0%) after an upwardly revised 1.7% gain in March. Starts and permits held steady, though due to volatile multifamily segment. The NAHB survey also showed firmer six-month sales expectations and buyer traffic.

Fig. 4: ADP data suggest private payrolls rose an average of 42.5k for the week ending 2 May, the highest in the survey's history

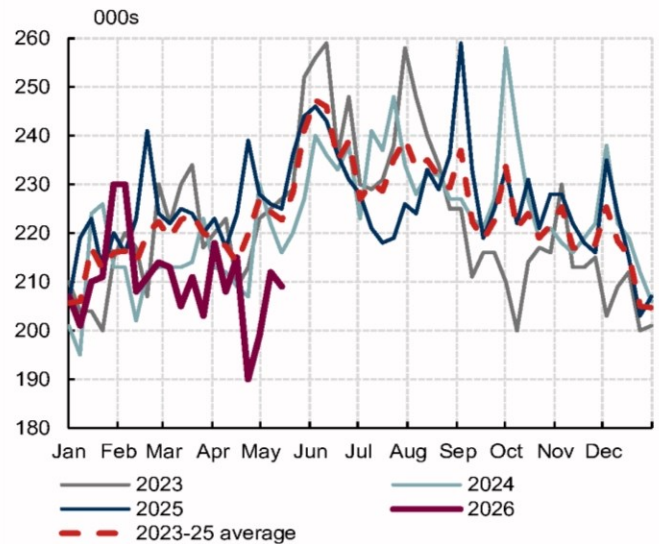
w-o-w changes in ADP private employment



Source: ADP, Haver, Nomura

Fig. 5: The level of claims has been mostly sideways recently, which we view as incrementally positive news given the seasonal tendency in recent years of initial claims rising into the summer

Initial claims (SA)



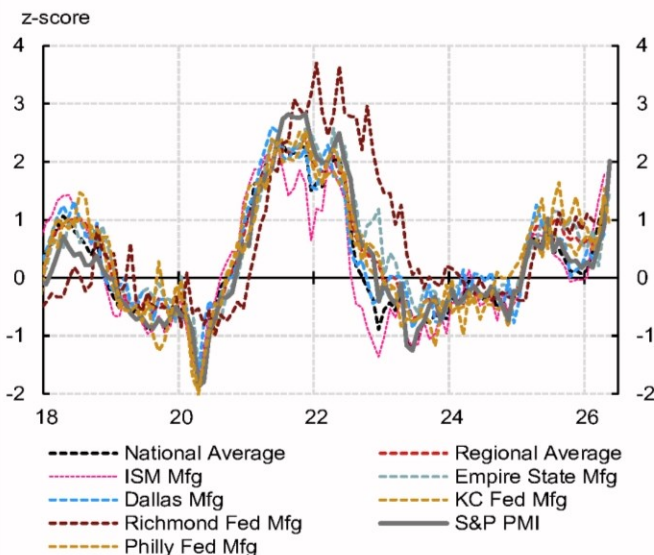
Source: DOL, Haver, Nomura

Labor market data continue to point to accelerating job gains. ADP's weekly data suggest private payrolls rose an average of 42.5k per week in the four weeks ending 2 May from 33.0k previously, the highest in the series history (*Fig. 4*). The level of claims has been mostly sideways recently, which we view as incrementally positive news, given the seasonal tendency in recent years of initial claims rising into the summer (*Fig. 5*).

At the same time, survey data point to intensifying price pressures. The S&P Manufacturing PMI input price index surged to 79.5 in May from 68.4, the largest monthly increase in the series history (*Fig. 6*). The NY Fed services price index also continued to rise, signaling persistent supercore PCE inflation (*Fig. 7*). Consumer inflation expectations also remained elevated, as the final reading of the UMich long-term inflation expectations jumped sharply to 3.9% in May from its preliminary print of 3.4%.

Fig. 6: Input prices in the S&P PMI manufacturing survey surged to 79.5 in May from 68.4 in April, the largest monthly increase in the series history

Manufacturing survey prices paid subcomponents



Source: ISM, Regional Feds, S&P Global, Haver, Nomura

Fig. 7: NY Fed service survey points to upward pressures on PCE supercore inflation

NY Fed Business Leaders Surveys' prices received index vs. PCE's supercore inflation



Source: BEA, NY Fed, Haver, Nomura

We expect core PCE inflation to rise 0.300% m-o-m in April, up from 0.293% in March. This translates to a y-o-y change of 3.3% in April, up from 3.2% in March. Core goods inflation likely rose for the fifth consecutive month, led by computer software and accessories. Looking ahead, we expect further price pressures on electronics due to the global shortage of semiconductors. Supercore PCE likely slowed in April due to softer financial and healthcare services, but strong equity markets point to a rebound in financial services prices in May. Airline fares also likely accelerated in April and are likely to continue pushing core PCE higher in coming months.

Data Preview

The week ahead

We expect core PCE accelerated in April, pointing to building price pressures.

Consumer confidence (Tuesday): We expect the Conference Board Consumer Confidence Index edged down to 92.3 in May from 92.8 in April. High frequency data from Morning Consult and the SF Daily News Sentiment Index suggest sentiment remained low. Stock prices rose, but the increase in energy prices likely kept consumers pessimistic.

Jobless claims (Thursday): Initial claims ticked down this week, while continuing claims picked up. The level of claims has been mostly sideways recently, which we view as incrementally positive news given the seasonal tendency in recent years of initial claims rising into the summer.

Personal income and spending (Thursday): We expect personal income growth slowed to 0.4% in April from 0.6% in March. Compensation of employees picked up due to a rebound in private payroll income. However, this was more than offset by a moderation in proprietors' income. This component is typically strong in March and tends to revert lower in subsequent months. Personal income receipts on assets also likely ticked down.

We expect personal spending growth edged down to 0.6% m-o-m in April from 0.9% in March. Retail sales slowed in the month suggesting a moderation in goods spending. Energy-related spending remained elevated. Based on our PCE inflation estimates, we expect real personal spending grew 0.2% m-o-m.

PCE deflator (Thursday): Incorporating relevant details from CPI, PPI, and import prices, we expect core PCE inflation accelerated to 0.300% m-o-m in April from 0.293% in March. This translates to a y-o-y change of 3.3% in April, up from 3.2% in March.

We expect PCE core goods inflation remained strong in April, the fifth consecutive monthly increase, primarily driven by higher computer software & accessories prices. Looking ahead, we expect further price pressures on electronics due to the global shortage of semiconductors.

Supercore PCE inflation likely decelerated in April, largely due to softness in financial service and healthcare service prices. However, recent strong equity market performance points to a rebound in PCE's financial service prices in May. Airline fares accelerated and are likely to continue rising, pushing up core PCE inflation in coming months.

Overall, another 0.3% reading of core PCE inflation, along with forward-looking price pressures, suggests that the hawkish macroeconomic environment will persist well into the second half of this year. This supports our Fed call for an indefinite hold.

GDP Q1 second estimate (Thursday): We expect the second estimate of Q1 GDP to be unchanged from its initial release of 2.0% q-o-q ar, with changes to the composition of growth. We expect real final sales to private domestic purchasers will be revised up to 1.7% q-o-q ar from its initial release of 1.6%. Q1 PCE is likely to be revised up as retail sales were revised higher for March. Construction spending came in stronger in February and March, which is likely to drive up fixed investment. On the other hand, trade data suggest net exports were lower than the BEA's initial assumption.

Durable goods orders (Thursday): We expect durable goods orders rose 4.8% m-o-m in April following a 0.8% increase in March. Nondefense aircraft orders likely picked up as Boeing net orders increased sharply. Defense orders and motor vehicles and parts orders also likely grew in the month.

Excluding volatile transportation equipment, durable goods orders likely remained strong at 0.9% m-o-m. Industrial production for durable goods excluding motor vehicles rose, and new order indices of manufacturing surveys increased further. We expect core capital goods shipments, an input into GDP's equipment investment, grew 1.0% m-o-m in April.

New home sales (Thursday): We expect the pace of new home sales slowed to 665k in April from 682k in March. Higher mortgage rates and Iran war-related uncertainty kept buyers on the sidelines. The NAHB survey indicated that new home sales declined in the month.

Advance goods trade balance (Friday): We expect the advance goods trade deficit

widened to \$89.0bn in April from \$87.4bn in March. Data from major trading partners suggest imports, particularly AI-related goods, surged in the month. Goods exports also picked up in the month, primarily due to energy-related exports, offsetting some of the increase in imports.

Fig. 8: Forecasts for economic indicators released during the week of 25 May

Monday 25 May		Units	Period	Prev 2	Prev 1	Last	Nomura	Consensus
Memorial Day - Markets Closed								
Tuesday 26 May								
9.00	Case-Shiller composite-20	% m-o-m	Mar	0.48	0.20	-0.05	n.a.	0.10
9.00	Case-Shiller composite-20	% y-o-y	Mar	1.45	1.19	0.90	n.a.	1.00
10.00	Consumer confidence	Index	May	91.0	92.2	92.8	92.3	91.5
13.00	2-yr note auction	\$bn					69	
Wednesday 27 May								
7.00	Mortgage applications	% w-o-w	22-May	-4.4	1.7	-2.3	n.a.	n.a.
11.30	2-yr FRN auction	\$bn					28	
13.00	5-yr note auction	\$bn					70	
Thursday 28 May								
8.30	Initial jobless claims	000s	23-May	199	212	209	n.a.	n.a.
8.30	Continuing jobless claims	000s	16-May	1758	1776	1782	n.a.	n.a.
8.30	Personal income	% m-o-m	Apr	0.5	0.0	0.6	0.4	0.4
8.30	Personal spending	% m-o-m	Apr	0.4	0.6	0.9	0.6	0.5
8.30	PCE deflator	% m-o-m	Apr	0.3	0.4	0.7	0.464	0.5
8.30	PCE deflator	% y-o-y	Apr	2.9	2.8	3.5	3.800	3.9
8.30	Core PCE deflator	% m-o-m	Apr	0.4	0.4	0.3	0.300	0.3
8.30	Core PCE deflator	% y-o-y	Apr	3.1	3.0	3.2	3.338	3.3
8.30	GDP	%q-o-q ar	Q1-2nd	4.4	0.5	2.0	2.0	2.1
8.30	Core PCE deflator	%q-o-q ar	Q1-2nd	2.9	2.7	4.3	4.3	4.3
8.30	Durable goods orders	% m-o-m	Apr-Pre	-0.4	-1.2	0.8	4.8	3.0
8.30	Durable goods orders ex-trans	% m-o-m	Apr-Pre	0.4	1.2	0.9	0.9	0.4
10.00	New home sales	000s saar	Apr	583	635	682	665	663
10.00	New home sales	% m-o-m	Apr	-19.9	8.9	7.4	-2.5	-2.8
13.00	7-yr note auction	\$bn					44	
Friday 29 May		Units	Period	Prev 2	Prev 1	Last	Nomura	Consensus
8.30	Advance goods trade balance	\$bn	Apr	-80.9	-83.5	-87.4	-89.0	-87.0
8.30	Wholesale inventories	% m-o-m	Apr-Pre	-0.3	0.9	1.3	n.a.	n.a.
9.45	Chicago PMI	Index	May	57.7	52.8	49.2	n.a.	51.2

Note: Eastern Daylight Time (EDT). All Nomura forecasts are modal.

Source: Haver, Bloomberg, Nomura

US Economic Outlook

We expect the Fed to stay on hold indefinitely due to diminished political pressure, elevated inflation, and hawkish Fed speak.

Economic activity: Growth momentum has accelerated, supported by easing tariff uncertainty, fiscal stimulus from the One Big Beautiful Bill Act, and the lagged impact of Fed rate cuts amid easy financial conditions. *Business investment appears to be broadening beyond the AI sector.* Higher tax refunds and strong payroll income growth has supported consumer spending thus far, despite headwinds from the Iran war. A broad range of indicators point to resilience and tentative signs of reacceleration in the labor market. We expect the unemployment rate will begin to decline, reaching 4.1% by year-end. We think that the US economy remains relatively insulated from *the crude oil price shock due to the Iran war* given the small share of energy-goods consumption in household spending, as well as domestic energy production.

Inflation: Core inflation remains well above the Fed's 2% target, and we believe risks are skewed to the upside. We forecast Q4 2026 core PCE inflation of 3.3% y-o-y. We expect tariff price pressures will diminish in the coming quarters. However, supply shortages caused by AI (memory chips, electricity, etc.) along with higher metal prices could exert new inflationary pressures on goods prices. Wage growth seems to have leveled off around 4%, which is likely to lead to stickiness in supercore service inflation. We expect rent disinflation to continue, but at a very gradual pace.

Policy: *We expect the Fed to remain on hold indefinitely.* Fed Chair Warsh likely remains motivated to ease policy, but recent elevated inflation readings and hawkish Fed speak make us skeptical that he will be able to convince a majority of the Fed to go along with rate cuts. Moreover, support among Fed officials for an easing bias has begun to wane. While hikes are not likely in the near term, the Fed's hesitance to respond to tentative signs of an inflation problem increases the risk that they may end up "behind the curve," needing to hike quickly to re-establish credibility. On tariffs, wider Section 122 exemptions, lower tariff rates, and a greater focus on affordability suggest *limited further escalation* in US trade policy.

Risks: Further escalation of geopolitical risks could lead to a tightening of financial conditions and worsening of the fiscal outlook. Increased political pressures on individual FOMC participants could undermine the Fed's credibility, soliciting sharp market reactions. A bust of the AI boom could lead to material corrections in asset valuations. A continued shortage of memory chips and supply chain disruption due to a protracted Iran war could lead to a second round of goods price increases.

Fig. 9: United States: Details of the forecast

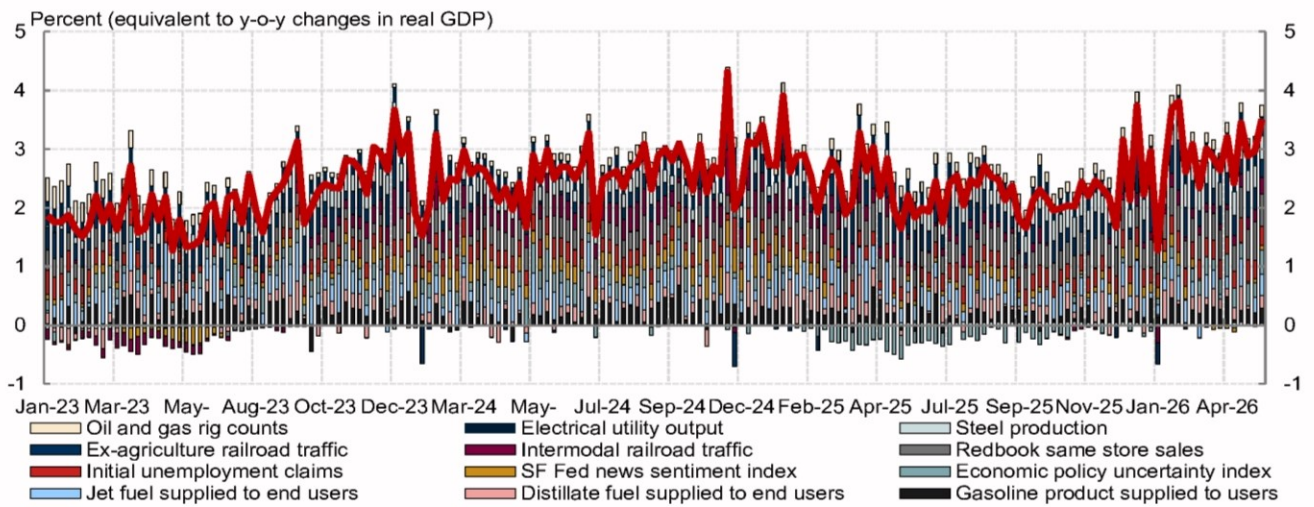
%			1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	% y-o-y			% Q4/Q4		
			q-o-q												2025	2026	2027	2025	2026	2027
Real GDP	(%, a.r.)		-0.6	3.8	4.4	0.5	2.0	2.7	2.1	1.9	1.9	1.8	1.6	1.6	2.1	2.3	1.9	2.0	2.2	1.8
	(%)		-0.2	0.9	1.1	0.1	0.5	0.7	0.5	0.5	0.5	0.5	0.4	0.4						
Personal consumption	(%, a.r.)		0.6	2.5	3.5	1.9	1.6	1.7	1.9	1.8	1.7	1.7	1.5	1.5	2.6	2.0	1.7	2.1	1.8	1.8
Nonresidential fixed invest	(%, a.r.)		9.5	7.3	3.2	2.4	10.4	9.9	4.5	3.6	3.4	3.1	2.5	2.5	4.1	6.5	3.7	5.6	7.0	5.3
Residential fixed invest	(%, a.r.)		-1.0	-5.1	-7.1	-1.7	-8.0	2.5	3.2	3.0	2.8	2.8	2.5	2.5	-2.2	-2.6	2.8	-3.8	0.1	2.9
Government expenditure	(%, a.r.)		-1.0	-0.1	2.2	-5.6	4.4	3.3	0.9	0.9	0.9	0.9	0.9	0.9	1.1	1.0	1.1	-1.2	2.4	1.5
Exports	(%, a.r.)		0.2	-1.8	9.6	-3.2	12.9	6.3	2.3	2.3	2.3	2.3	2.2	2.1	1.6	5.1	2.5	1.1	5.8	3.3
Imports	(%, a.r.)		38.0	-29.3	-4.4	-1.0	21.4	15.2	3.5	3.3	2.8	2.5	2.3	2.0	2.7	5.3	3.5	-1.9	10.6	6.1
Contributions to GDP:																				
Final sales	(pp., a.r.)		-3.2	7.3	4.5	0.3	1.6	1.9	1.9	1.8	1.8	1.8	1.5	1.6	2.2	2.2	1.8	2.1	1.9	1.7
Net trade	(pp., a.r.)		-4.7	4.8	1.6	-0.2	-1.3	-1.3	-0.2	-0.2	-0.1	-0.1	-0.1	-0.1	-0.2	-0.2	-0.2	0.4	-0.8	-0.1
Inventories	(pp., a.r.)		2.6	-3.4	-0.1	0.1	0.4	0.8	0.2	0.1	0.1	0.1	0.1	0.0	-0.1	0.0	0.2	-0.1	0.3	0.1
As noted																				
Unemployment rate	(%)		4.1	4.2	4.3	4.5	4.3	4.3	4.2	4.1	4.0	3.9	3.9	3.9	4.3	4.2	3.9			
Nonfarm payrolls	(000s)		20	34	23	-39	68	75	90	120	100	90	90	90	10	88	90			
Housing starts	(000s, a.r.)		1401	1354	1346	1323	1419	1410	1430	1420	1400	1390	1390	1380	1356	1420	1390			
Consumer prices	(%, y-o-y)		2.7	2.5	2.9	2.7	2.7	4.0	3.8	3.8	3.4	2.0	1.9	1.9	2.7	3.6	2.3			
Core CPI	(%, y-o-y)		3.1	2.8	3.1	2.7	2.5	2.8	2.7	2.9	2.6	2.5	2.4	2.4	2.9	2.8	2.6			
PCE Deflator	(%, y-o-y)		2.6	2.4	2.7	2.8	3.1	3.9	3.8	3.7	3.2	2.2	2.1	2.1	2.6	3.6	2.4			
Core PCE	(%, y-o-y)		2.8	2.7	2.9	2.9	3.1	3.4	3.3	3.3	2.9	2.6	2.5	2.4	2.8	3.3	2.6			
Federal budget	(% GDP)														-5.8	-6.4	-6.5			
Current account balance	(% GDP)														-3.7	-3.7	-3.8			
Fed securities portfolio	(\$trn)		6.32	6.24	6.19	6.15	6.27	6.36	6.42	6.48	6.54	6.60	6.66	6.72	6.15	6.48	6.72			
Fed funds target midpoint	(%)		4.375	4.375	4.125	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625			
TSY 2-year note	(%)		3.89	3.72	3.60	3.47	3.79	4.15	4.15	4.10	4.10	4.05	4.00	3.95	3.47	4.10	3.95			
TSY 5-year note	(%)		3.96	3.79	3.74	3.73	3.92	4.30	4.30	4.25	4.25	4.25	4.20	4.20	3.73	4.25	4.20			
TSY 10-year note	(%)		4.23	4.24	4.16	4.18	4.30	4.60	4.60	4.60	4.60	4.60	4.55	4.50	4.18	4.60	4.50			

Note: The unemployment rate is a quarterly average as a percentage of the labor force. Nonfarm payrolls are average monthly changes during the period. Inflation measures and calendar year GDP are year-over-year percent changes. The GDP measures in the last column refer to Q4/Q4. The Fed securities portfolio is end-of-period. The annual interest rate forecasts are end-of-period. Housing starts are period averages. Numbers in bold are actual values. Table reflects data available as of 22 May 2026. All Nomura forecasts are modal.

Source: BEA, BLS, Census Bureau, FRB, Haver, Nomura

Week in Review

Fig. 10: Weekly data tracker and its decomposition



Note: We estimate a latent factor that contributes the most to the total variance of 13 daily and weekly US indicators covering industrial and consumer sectors via principal component analysis (i.e., the first principal component). We calibrate this factor to track four-quarter changes in real GDP.

Source: AAR, Baker Hughes, DOL, EIA, EEI, MBA, PolicyUncertainty, Redbook Research, SF Fed, Haver Analytics, Nomura

Policy Watch - We now expect the Fed to stay on hold indefinitely

Economic Insights - US: Cycle Monitor – Full speed ahead

Fig. 11: Economic Data Calendar

	Mon 25 May	Tue 26 May	Wed 27 May	Thu 28 May	Fri 29 May
North America	US Memorial Day Markets Closed	US Consumer confidence (May) Index 92.8, 92.3, 91.5 US Cotality CS home price index (Mar) % m-o-m 0.90, n.a., 1.00	US No key indicators released	US Core PCE deflator (Apr) %m-o-m 0.3, 0.300, 0.3 US Personal income (Apr) % m-o-m 0.6, 0.4, 0.4 US Durable goods orders (Apr-p) % m-o-m 0.8, 4.8, 3.0	US Adv. goods trade balance (Apr) \$bn -87.4, -89.0, -87.0 US Wholesale inventories (Apr-p) % m-o-m 1.3, n.a., n.a. CAN GDP (Q1) % q-o-q ar 1.0, 1.6, n.a.
		SPA Producer prices (Apr) % m-o-m 6.5, n.a., n.a.	FRA Consumer conf. (May) Index 84, 85, n.a.	ECB April Decision Account EUR Economic conf. (May) Index 93.0, n.a., n.a. SWE Econ. Tende. Survey (May) Index 99.0, n.a., n.a. ITA Consumer conf.e (May) Index 90.8, 92.4, n.a. FRA Producer prices (Apr) % m-o-m 2.0, n.a., n.a.	GER HICP (May P) % y-o-y 2.9, 3.0, n.a. FRA HICP (May P) % y-o-y 2.5, 2.9, n.a. ITA HICP (May P) % y-o-y 2.8, 3.5, n.a. SPA HICP (May P) % y-o-y 3.5, 3.5, n.a. GER Unempl. change (May) k 20, 5, n.a.
	Bank holiday	UK BRC Shop Price (May) % y-o-y 1.0, 0.6, n.a. UK CBI Retail Sales (May) Index -68, n.a., n.a.			UK Lloyds Barom. (May) Index 44, n.a., n.a.
Europe (ex-UK)	Poland Retail sales (Apr) %y-o-y 8.7, n.a., n.a. Israel Rate Decision % 4.00, n.a., 3.75	Poland Unemployment rate (Apr) % 6.1, n.a., n.a. Hungary Rate Decision % 6.25, n.a., 6.25		S. Africa PPI (Apr) %y-o-y 2.3, n.a., n.a. S. Africa Rate Decision % 6.75, n.a., 7.00	Hungary PPI (Apr) %y-o-y 1.2, n.a., n.a. Czech R. GDP (1Q P) %y-o-y 2.1, n.a., n.a. Poland CPI (May P) %y-o-y 3.2, n.a., n.a. S. Africa Budget balance (Apr) ZARbn 31.9, n.a., n.a.
			SPPI (Apr) % y-o-y 3.1, n.a., n.a.		Tokyo-area Core CPI (May) % y-o-y 1.5, 1.5, n.a. Industrial production (Apr) % m-o-m -0.4, -2.2, n.a. Unemployment rate (Apr) % 2.7, 2.7, n.a. Retail sales (Apr) % y-o-y 1.4, 1.3, n.a.
CEE/MEA					
Japan					
Asia ex-Japan	Singapore Real GDP (final) (Q1) % y-o-y 4.6, 5.2, 5.2 Singapore CPI (Apr) % y-o-y 1.8, 2.2, 2.1 Singapore Core CPI (Apr) % y-o-y 1.7, 1.9, 1.8 Thailand Custom exports (Apr) % y-o-y 18.7, 17.7, 24.0	Philippines Fiscal balance (Apr) PHP bn -349.7, 21.8, n.a. Singapore Industrial production (Apr) % y-o-y 10.1, 10.6, 11.8 Taiwan Industrial production (Apr) % y-o-y 28.7, 17.4, 18.7	Australia CPI (Apr) % y-o-y 4.6, 4.7, 4.4 New Zealand RBNZ policy meeting (May) % 2.25, 2.25, 2.25	S. Korea BOK policy meeting (May) % 2.50, 2.50, 2.50 Thailand Manufacturing production (Apr) % y-o-y 0.8, -1.6, 0.5	S. Korea Industrial production (Apr) % y-o-y 3.6, 1.1, 2.5 Philippines Exports (Apr) % y-o-y 20.4, 16.8, 16.7 Thailand Current account balance (Apr) USD bn 0.6, -2.9, n.a. Taiwan Advance Real GDP estimates (Q1) % y-o-y 13.7, 13.7, 13.7

Source: Bloomberg, Reuters, Nomura Global Economics.

Appendix A-1

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